4. **Continuity:** It is an on-going or never ending process. As long as there is planning and execution, coordination is needed.

5.5 Nature of Coordination

- Coordination is not a distinct function but it plays a significant role of management.
- It is a basic responsibility of management.
- Coordination does not arise spontaneously or by force.
- The main theme of coordination is the unity of purpose.
- It is a continuous or an on-going process.
- It requires group effort and not individual effort.
- It is the responsibility of each and every manager.
- Coordination is a dynamic process.
- Coordination is the essence of management.
- It is a goal oriented activity.

5.6 Importance of Coordination

1. **Coordination helps to attain common goal:** By integrating the activities of various departments and to secure unity of action, coordination plays a vital role and helps to attain the goal.
2. **It helps to achieve optimum utilisation of resources:** Coordination ensures that there is no duplication of work . By understanding their own work, overlapping the activities may be avoided, which ensures to attain maximum utilisation of available resources.
3. **It provides a sense of direction:** In an enterprise where every department performs different activities, it is only coordination that provides a sense of direction to one and all.
4. **It leads higher efficiency:** By coordination, the resources are utilised to the maximum. So the organisation can promote efficiency and effectiveness.
5. **It promotes human relations:** Coordination necessitates cooperation and teamwork among the personnel in an organisation. This leads good human relations among the individuals.
6. **It facilitates motivation:** Coordination leads to motivation, which helps the employees in the organisation to get both financial and non-financial incentives.
7. **It improves goodwill of the organisation:** Goodwill refers to the reputation of the organisation. Without coordination, no organisation can improve their reputation.
8. **It encourages team spirit:** Team spirit indicates morality of the organisation. So, coordination helps the firm to achieve maximum profitability with proper team work.

5.7 Types of Coordination

1. **Internal Coordination:** It is the establishment of relationship among the managers, executives, divisions, subdivisions and other workers.
   i. **Vertical Coordination:** Superior coordinates his work with his subordinates and vice versa. For example, sales manager coordinates his work with the activities of the sales supervisor.

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